Juan Pablo de Legarreta

NETC 180 – Information Risk Management

Module Seven Assignment

Risk Appetite Definition

According to ISO 31000, risk appetite "refers to both the amount and type of risks an organization is willing to pursue, retain, or accept." (RiskRecon) It is an organization's stance on risk that dictates its strategy and overall business approach. Many professionals use risk appetite and risk tolerance interchangeably, though there are important differences between them. (RiskRecon) Risk tolerance refers to an organization's willingness to tolerate certain specific risks, and can be measured on a situational basis, whereas risk appetite informs the organization's culture and overall stance on risk. To determine risk appetite, the decisions of an organization can be used to assess how comfortably it deals with risk and how willing it seems to take on risk.

RG Enterprises' Risk Appetite

In the case study of RG Enterprises, there is no given statement from the organization that explicitly states its risk appetite. In fact, there is no formal indication of its business or strategic decision-making process other than its current situation. The organization's risk appetite is clearly spelled out in the risks that it currently faces because of its decisions. RG Enterprises is facing risks from several different fronts, and this combination of risks indicates that RG Enterprises' risk appetite is high, with seemingly little aversion to making risky decisions.

RG Enterprises finds itself on the precipice of catastrophe. It faces compliance, reputational, strategic, legal, financial, physical, regulatory, and operational risks which mix into a dangerous cocktail of risky decision-making that indicates its high appetite for risk. The decisions that RG Enterprises chose to make that landed it in this precarious situation indicate a corporate culture that has a **high appetite for risk**, and each of the following risks provide evidence that lead to that assessment:

1. **Compliance risk**

RG Enterprises is using an offshore company to set up its website, which takes credit card payments. There is no guarantee that the company is compliant with PCI DSS and GDPR. If this risk is not mitigated, RG Enterprises could face fines, damage to its reputation, lawsuits, lost revenue, and federal audits. By choosing this offshore company, it seems that RG Enterprises was willing to take this risk.

2. **Reputational risk**

The offensive material RG Enterprises prints on its products could cause outrage among its customer base and lead to a decrease in sales - only a tiny portion of the pre-made offensive t-shirts have been sold. Additionally, the eCommerce website has suffered periodic outages. Poor reliability may lead customers to take their business elsewhere. Both types of reputational risk could impact sales and customer loyalty if they are not corrected, and RG Enterprises seems to be willing to accept these risks.

3. **Strategic risk.**

RG Enterprises pre-produced t-shirts with an offensive print, using a politician’s face with a provocative caption based on Lady Gaga’s album. This strategy has apparently backfired, as less than 5% of the pre-produced shirts have been purchased. This particular risk already has severe consequences: the expensive strategy has not paid off and the company does not have the cash to pay its employees. Poor strategies like this could end with bankruptcy, and RG Enterprises seems to be ok with this.

4. **Legal risk**

RG Enterprises faces lawsuits based on the use of the image, likeness, and copyrighted material of Lady Gaga as well as libel of a politician. These practices are both against the law, and the company might face fines, loss of its business license, or bankruptcy due to its legal issues. This seems to be acceptable risk, however, as its decisions have brought RG Enterprises to this point.

5. **Financial risk**

RG Enterprises faces a tough financial situation - it may not be able to pay its employees. Its mismanagement of funds have resulted in this precarious situation, and this mismanagement indicates that this is an acceptable level of risk for the organization.

6. **Physical risk**

According to the case study, the Red River upon which RG Enterprises is headquartered is predicted to have historic flooding in the next few weeks. Flooding would damage the equipment, technology, and any other assets and resources that the company has on the premises. Choosing to stay at this location is an indicator of RG Enterprises' risk appetite.

7. **Regulatory risk**

Not collecting sales tax for Illinois residents is a great example of the regulatory risk RG Enterprises faces. Failure to deal with this regulatory risk could result in fines, audits, fraud, or having the company's assets seized. The company apparently seems ok with this, having not collected the sales tax for enough time to force a lawsuit from the state of Illinois.

8. **Operational risk**

According to allegations on social media, the company may be using Mehendi dye, which is known to stain human skin for prolonged periods of time. Whether the allegation is true or not, using the wrong kind of dyes for the clothing can result in lawsuits, fines, hits to the company’s reputation, investigations, loss of revenue, and financial loss due to replacing inventory. Actively choosing to use this dye indicates a culture of high appetite for risk.

Conclusion

After looking at the different types of risk that RG Enterprises faces, there is a huge amount of evidence that indicates its **high appetite for risk**. The decisions that led the company to this point, facing risks on at least 8 different fronts, indicate a culture of decision-making in the company that seems to have very little desire to prevent or mitigate any risk at all. In order to save the business, RG Enterprises needs to take an honest look at the culture of its decision-making and make a risk-appetite statement that helps to greatly limit the exposure to risks when it makes future decisions.

Bibliography

RiskRecon. “A Complete Guide to Risk Appetite.” *Blog.riskrecon.com*, 30 Oct. 2023. https://blog.riskrecon.com/a-complete-guide-to-risk-appetite. Accessed 10 Nov. 2024.